government provided 100 per cent guarantee coverage on the outstanding amount for the credit facility provided under the Emergency Credit Line Guarantee Scheme (ECLGS) as on the date of the non-performing asset. Guarantees totalling Rs 3 lakh crore had been extended for both MSMEs as per the original mandate as well as the stressed sectors of the economy identified by RBI.

Loans amounting to Rs 1.58 lakh crore were reportedly disbursed under ECLGS by 4 December 2020, which made about 1.2 per cent of bank credit outstanding at the beginning of the financial year. Total increase in outstanding bank credit until 4 December 2020 in the financial year was Rs 1.34 lakh crore. Putting these two together meant that, excluding the guaranteed credit growth, there was negative credit growth of about Rs 25,000 crore in India in the first nine months of COVID-19 impacting India despite full implementation of liquidity and stimulus measures of the RBI and Government of India.

Financial year 2021–22 turned out to be somewhat better though there was nothing spectacular about it. Credit grew by 3.65 lakh crore in first nine months or about 3.3 per cent.

A number of new innovations were used to infuse liquidity in the system: Long Term Repo Operations (LTRO—RBI provides funds for one to three years at a fixed rate), Targeted Long Term Repo Operations (TLTRO—RBI mandates that LTRO funds would have to be invested in specified securities or specified type of loans), Special Liquidity Facility for Mutual Funds (SLFMF—special liquidity to banks for lending to mutual funds), Special Liquidity Scheme for NBFCs/HFCs (special liquidity to banks for lending to NBFCs and HFCs), etc. A number of open-market operations (OMOs—RBI buys government securities from banks for cash or vice versa) with variants like Operation Twist (RBI exchanges securities, e.g., buys one set of securities, say, a ten-year paper by selling another